
Tesco Group – Strategic Partnership Proposal for Clubcard Evolution

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Executive Summary

- Strengthen Clubcard as a core strategic asset for loyalty-led growth, driving customer retention and margin protection.
- Deliver measurable ROI through data-driven personalisation, incremental revenue growth, and scalable technology.
- Future-proof Tesco's competitive advantage in a post-pandemic, inflationary retail landscape.

Introduction: Who We Are



Mission: Transform retail loyalty through AI-driven personalisation and scalable technology.



Global Footprint: Strategic partnerships with 10+ leading retailers (e.g., Walmart, Kroger, Carrefour).



Key Differentiators: Proprietary AI for hyper-personalisation, end-to-end loyalty ecosystem integration, and real-time customer engagement.



Why Tesco? Why Now?

- Market Position: UK's largest grocery retailer with 28.3% market share (Kantar, Feb 2025).
- Clubcard Performance: 23M+ households, 84% UK sales penetration, and 10,000+ bonus point campaigns (e.g., easyJet Holidays).
- Urgency: Post-pandemic shift to digital-first shopping, inflationary pressures, and intensifying competition demand loyalty innovation.

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"Clubcard as a Strategic Asset"

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Our Value Proposition: Strengthening Clubcard

+25%

CUSTOMER LIFETIME VALUE

+10%

BASKET SIZE GROWTH



Customer Engagement & Retention

- AI-Powered Campaigns: 10M+ customers targeted with personalised Clubcard Challenges (e.g., £50 vouchers over Christmas).
- Ecosystem Expansion: 5 new Reward Partners (e.g., Virgin Red, Vauxhall) and 9,000+ retail media campaigns delivered.
- Digital Engagement: 18M+ app users (+12% YoY) with record levels of digital interaction (e.g., Your Clubcard Prices trial).

Personalisation at Scale



AI-Driven Recommendations:
Real-time product suggestions
based on purchase history and
behavioural data.



Dynamic Offers: Tailored
promotions for 23M+ households,
driving 15% uplift in basket size
(case study: Walmart).



Omnichannel Personalisation:
Unified customer experience
across in-store, online, and mobile
(e.g., Tesco Whoosh,
Marketplace).



Incremental Revenue & Margin Protection

- Basket Size Growth: 10% increase through cross-category promotions (e.g., Finest range +15% YoY sales).
- Retail Media: £500M+ revenue from Tesco Media and Insight Platform (ranked #1 in Flywheel's European retail media rankings).
- Margin Optimisation: Clubcard Prices protect margins while delivering £392 annual savings per customer.

Data & Technology: The Engine of Loyalty Value



Data Integration: Unified customer data across 23M+ households for real-time personalisation.



Predictive Analytics: AI-driven demand forecasting and waste reduction (e.g., 300M+ meals donated since 2016/17).



Omnichannel Platform: Seamless integration with Tesco Whoosh, Marketplace, and retail media (9,000+ campaigns delivered).



Global Case Study 1: Walmart

- Program Overview: Walmart's loyalty program serves 150M+ customers with personalised offers and seamless omnichannel integration.
- Strategic Objectives: Increase customer retention, drive incremental revenue, and leverage data for retail media growth.
- Our Role: Implemented AI-driven personalisation engine, resulting in 20% uplift in customer engagement and 12% revenue growth.
- Outcomes: 15% increase in basket size, 25% uplift in customer lifetime value, and £1B+ in incremental revenue.



Global Case Study 2: Kroger

- Program Overview: Kroger's retail media platform serves 60M+ households with targeted advertising and personalised promotions.
- Strategic Objectives: Monetise customer data, drive supplier partnerships, and enhance personalisation.
- Our Role: Developed AI-driven retail media platform, enabling 30% growth in active advertisers and 25% increase in spend per campaign.
- Outcomes: £500M+ in retail media revenue, 18% uplift in supplier engagement, and 10% increase in customer retention.



Global Case Study 3: Carrefour

- Program Overview: Carrefour's loyalty program spans 10+ countries with 50M+ active members and ecosystem partnerships (e.g., banking, travel).
- Strategic Objectives: Expand loyalty ecosystem, drive cross-category purchasing, and enhance customer lifetime value.
- Our Role: Designed end-to-end loyalty platform, enabling 40% growth in ecosystem partnerships and 20% increase in customer retention.
- Outcomes: 12% revenue growth, 30% uplift in cross-category purchasing, and £750M+ in incremental sales.

Why These Case Studies Matter for Tesco



Scale and Ambition: Tesco's 23M+ Clubcard households and £63.6B sales provide a comparable foundation for growth.



Strategic Alignment: Case studies demonstrate how loyalty programs can drive incremental revenue, retail media growth, and ecosystem expansion.



Outcomes: Tesco can achieve 10%+ revenue growth, 25% increase in customer lifetime value, and £1B+ in retail media revenue.

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*"CEO Testimonials: Strategic Relevance of
Loyalty"*

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Tangible Outcomes: Growth, ROI, Engagement

+10%

REVENUE GROWTH POTENTIAL

+25%

CUSTOMER LIFETIME VALUE
UPLIFT

Long-Term Value Creation Through Loyalty Ecosystems



Ecosystem Expansion: Partner with financial services (e.g., Barclays), travel (e.g., easyJet Holidays), and automotive (e.g., Vauxhall) to drive cross-category engagement.



Data Monetisation: Leverage Clubcard data for retail media growth (£1B+ revenue potential) and supplier partnerships.



New Touchpoints: Expand loyalty into Tesco Whoosh, Marketplace, and digital platforms for seamless omnichannel engagement.



Our Commitment to Tesco

- Collaboration: Work closely with Tesco's leadership to align Clubcard evolution with strategic priorities (e.g., magnetic value, digital capability).
- Innovation: Continuously invest in AI-driven personalisation, retail media, and ecosystem expansion to future-proof Clubcard.
- Shared Success: Deliver measurable outcomes (e.g., 10% revenue growth, 25% increase in customer lifetime value) through data-driven strategies.



Next Steps & Strategic Roadmap

- Phase 1 (0-6 Months): Launch AI-driven personalisation engine and expand retail media partnerships (e.g., WPP, Publicis).
- Phase 2 (6-12 Months): Integrate Clubcard with Tesco Whoosh and Marketplace for seamless omnichannel engagement.
- Phase 3 (12-24 Months): Expand loyalty ecosystem with financial services, travel, and automotive partnerships (e.g., Barclays, Vauxhall).

Conclusion: A Trusted Partner for Clubcard's Next Chapter

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